

SUSTAINABILITY DISCLOSURE

BRSR AND IMPACT REPORT FY2024-25

Woven with Care

Kaveri Threads & Textiles Ltd

Kaveri Threads & Textiles Ltd
Coimbatore, Tamil Nadu | NSE: KAVERITEX

Reporting period 1 April 2024 to 31 March 2025
BRSR Core | GRI 2021 | TCFD

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SECTION 01

01

About this report

Boundary, period and frameworks

This BRSR and Impact Report presents the environmental, social and governance performance of Kaveri Threads & Textiles Ltd for the financial year from 1 April 2024 to 31 March 2025. We have written it for the people who weigh our yarn and fabric on a scale of trust: brand buyers, investors, lenders, our own colleagues and the communities of western Tamil Nadu.

Boundary

The report covers our Coimbatore Spinning Mill, the Tiruppur Processing Unit, the Tirunelveli Captive Wind Farm and the corporate office in Coimbatore. We report on the basis of operational control. Cotton farmers, ginners, garmenting customers and other value chain partners are outside the boundary, though we describe our engagement with them in the supply chain section.

Financial data is taken from our audited financial statements. Environmental and social data comes from plant records, utility meters, payroll and incident systems. Where we use estimates, we say so. Earlier-year figures are unchanged unless noted.

FRAMEWORKS AND STANDARDS APPLIED

- **SEBI BRSR and BRSR Core**, as per the circulars applicable to the top 1,000 listed entities by market capitalisation.
- **GRI Standards 2021**, in reference to GRI 1, GRI 2 and GRI 3 and the topic standards listed in the content index.
- **TCFD** recommendations on governance, strategy, risk management, and metrics and targets.
- National Guidelines on Responsible Business Conduct (NGRBC) and the nine principles they set out.
- Greenhouse Gas Protocol Corporate Standard and Scope 2 Guidance.

A note on how we write

We have tried to keep language plain and to show both progress and unfinished business. Where a topic is important but we do not yet measure it well, we say so rather than leave it out.

If a number matters, it should be possible to trace it back to a meter, a payslip or a register.

Head of Sustainability

The Board approved this report on 26 May 2025. A glossary and a GRI content index at the end help readers find their way, and the contact details on the back cover are open to questions at any time.

NOTES

1. BRSR Core indicators for FY2025 were reviewed by the Audit Committee before filing.
2. Rs 1 crore equals 10 million rupees.

SECTION 02

02

Message from the Managing Director

Woven with care

Dear friends,

A cotton boll is picked in a field in Maharashtra or Telangana, spun into yarn in Coimbatore, dyed and finished in Tiruppur, cut and stitched somewhere else, and finally worn by someone we shall never meet. Across that long journey, there are thousands of chances to do right by people and by nature, and equally many to look away.

Sustainability is woven into everything we do. It shows in how we plan our energy, treat our water, protect our workers and share our results, and the pages that follow try to give evidence for that statement rather than simply repeat it.

This year, our wind farm continued to be the backbone of our power supply, our Tiruppur unit completed another full year operating without releasing treated effluent, and our teams across all three sites kept up a steady focus on safety. We also took a hard look at the parts of our value chain where we have less visibility, including farm-level practices and wages in our supplier base.

The honest report is the useful one. We would rather be corrected than admired.

Managing Director

There is more to do. Cotton remains a thirsty crop, dyeing remains a chemical process, and fashion remains a fast business. We shall keep investing in cleaner technology, in the skills of our people, and in partnerships with farmers and customers who share our long view.

Kaveri Threads was founded forty years ago by a small group of mill engineers and weavers who believed that good cloth and good conduct belonged together. Our founders would find the machines and the markets unrecognisable today, but I hope they would recognise the values.

My thanks to our employees, our customers, our bankers and shareholders, and to the communities of Coimbatore, Tiruppur and Tirunelveli for their support.

With regards,

Lakshmi Narayanan

Managing Director

Coimbatore, 26 May 2025

YEAR IN BRIEF

- Captive wind farm supported the bulk of our electricity needs
- Another full year of zero liquid discharge at Tiruppur
- Safety performance maintained with no fatalities
- Cotton traceability pilot extended to more farmer groups

SECTION 03

03 Company at a glance

Mills, wind farm and markets

Rs 3,580 crore

Revenue, FY2025

220,000

Spindles installed

60 tonnes/day

Fabric processing capacity

40 MW

Captive wind capacity

Kaveri Threads & Textiles Ltd is a vertically integrated textile company headquartered in Coimbatore and listed on the National Stock Exchange. We spin cotton and blended yarns, process knitted fabric and supply brands that sell in India, Europe and North America.

Our Coimbatore mill makes combed and carded cotton yarn. The Tiruppur unit dyes and finishes knit fabric for garment makers in the cluster, and the 40 MW wind farm in the southern district of Tirunelveli supplies a large part of the electricity needed by our mills through the grid under open access arrangements.

Operating facilities

#	Facility	Type	Location	Coordinates	Rated capacity
1	Coimbatore Spinning Mill	Spinning mill	Coimbatore, Tamil Nadu	11.02 N, 76.96 E	220,000 spindles
2	Tiruppur Processing Unit (ZLD)	Dyeing and processing unit	Tiruppur, Tamil Nadu	11.11 N, 77.34 E	60 tonnes fabric/day
3	Tirunelveli Captive Wind Farm	Captive wind farm	Tirunelveli, Tamil Nadu	8.71 N, 77.76 E	40 MW

Coordinates are approximate and rounded to two decimals. Capacities are nameplate figures as at 31 March 2025.

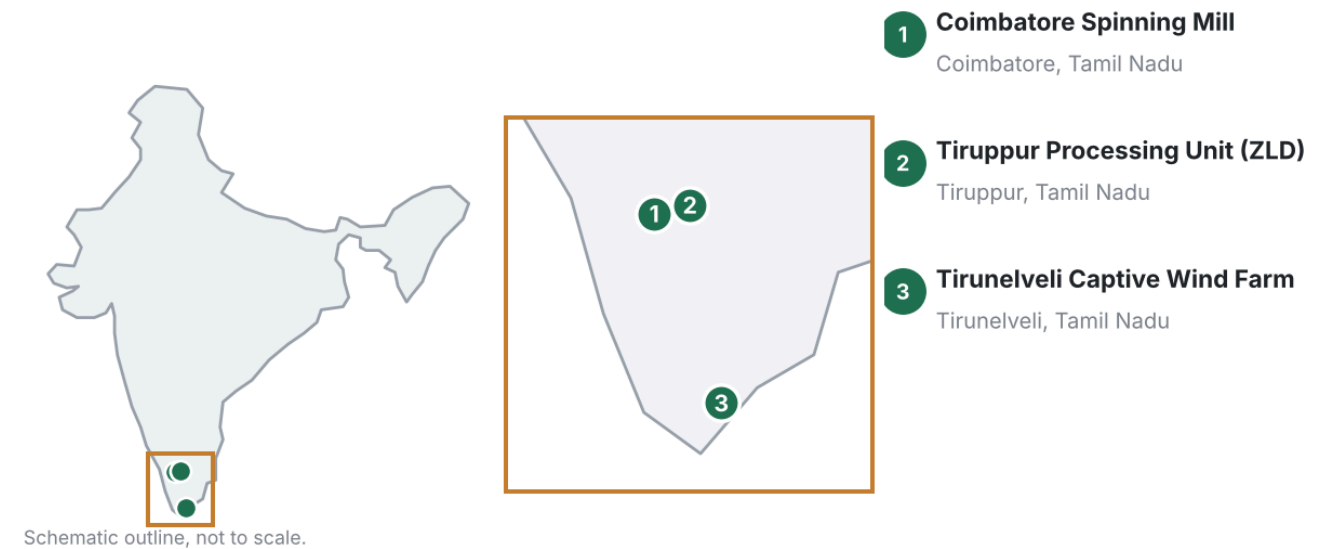


Figure 3.1 Kaveri's facilities in Tamil Nadu. Marker positions in the enlarged panel are nudged to avoid overlap.

About 6,500 people work with us. Textile work has long been among the largest sources of formal employment for women in the state, and our workforce

reflects that tradition. We also work with several hundred contract workers, mainly in packing, transport and housekeeping.

Revenue from operations

Financial year	FY20	FY21	FY22	FY23	FY24	FY25
Rs crore	2,650	2,380	3,120	3,290	3,410	3,580

Source: audited financial statements.

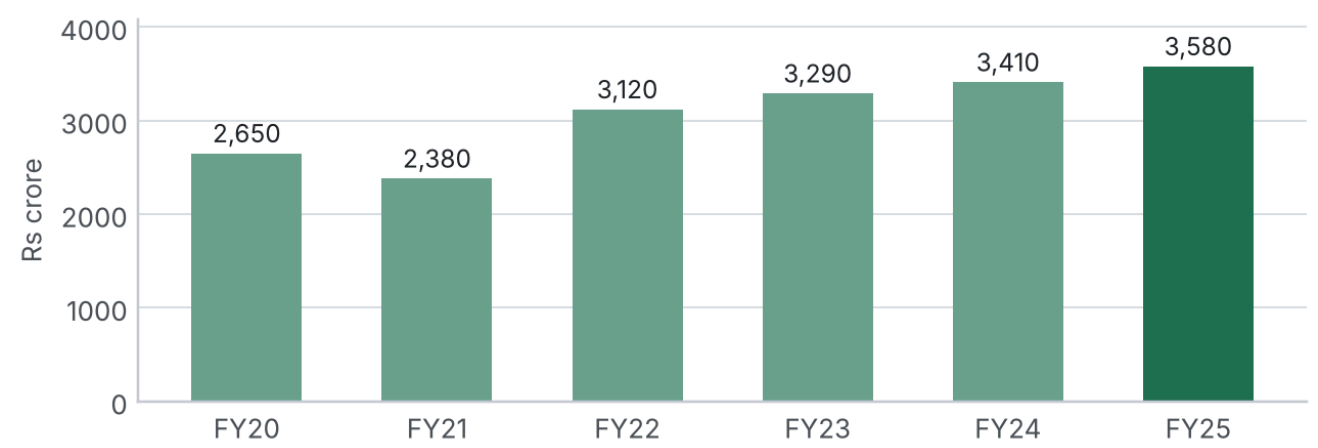


Figure 3.2 Revenue from operations, FY2020 to FY2025 (Rs crore).

OUR VALUES

Care for people, respect for resources, honesty in dealing and craft in everything we make.

SECTION 04

04 Materiality and stakeholders

Listening before deciding

Textiles touch many parts of society. We therefore try to listen widely. In 2024 we asked around 300 stakeholders what matters most to them: customers and brand sustainability teams, investors, lenders, employee committees, trade unions, cotton farmer groups, suppliers and local community representatives. Sessions were held in Tamil, English and Hindi.

Topics were scored on importance to stakeholders and to the business, then reviewed by a panel of senior managers and two independent advisers. The matrix below shows the outcome.



Figure 4.1 Materiality matrix. Priority topics are in the upper right quadrant.

What stood out

Water and effluent, worker safety and fair wages topped the concerns of nearly every group. Brand customers emphasised chemicals management and traceability of cotton. Investors added questions on renewable energy dependence and exposure to climate-related disruptions, such as erratic monsoons that affect cotton.

HOW WE ENGAGE

- Quarterly brand customer reviews
- Worker committees at every unit
- Farmer producer group meetings in cotton belts
- Annual open day for neighbouring villages

SECTION 05

05 Strategy and targets

Woven with Care: three strands, one plan

Our strategy is called Woven with Care, and it has three strands: care for the planet, care for people, and care for the craft. It is meant to be simple enough to be understood in a spinning department and rigorous enough to be examined by an analyst.

Care for the planet

We aim to decouple growth from resource use. Renewable power, efficient machines, water recovery and chemical stewardship are the main tools, with

circular fibres a growing area of interest.

Care for people

Safe, fairly paid and respected workers are the core of a textile company. We invest in safety, skills, housing, childcare and women's career progression, and in transparency with unions and worker committees.

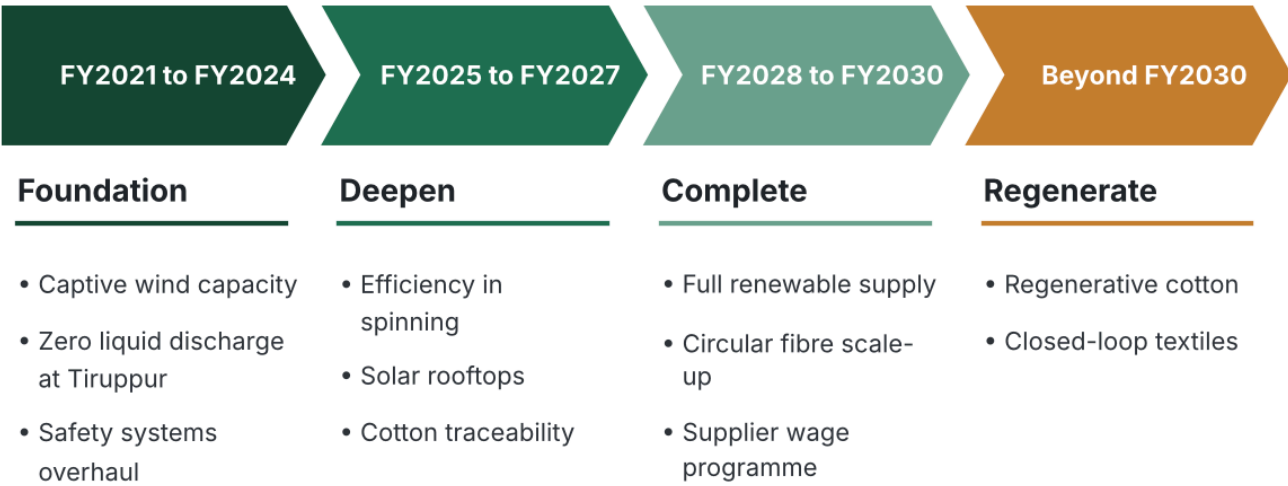


Figure 5.1 Strategy roadmap by phase. Phases describe themes of work.

Care for the craft

Quality and innovation, from finer yarn counts to digital printing and recycled fibres, keep us relevant to demanding brands. Better technology usually means

less waste.

For energy, our principal long-term ambition is straightforward. We aim to source 100% of our electricity from renewables by 2030. This builds on the captive wind farm and will require additional generation, storage and open access contracts, subject to regulation and economics.

HOW WE TRACK STRATEGY

A scorecard of environmental, social and governance indicators is reviewed by the Board's Sustainability Committee every quarter, and a subset of the indicators is linked to management incentives.

The roadmap above describes phases of work. Milestones for each phase are reviewed annually and published in this report, and we are open about delays.

SECTION 06

06 Climate and energy

Wind power, efficiency and certificates

Textile production is energy-intensive, mostly because of spinning, which uses electricity, and wet processing, which uses steam and hot water. Our greenhouse gas footprint therefore reflects boilers, thermal oil heaters and purchased power. Our approach to climate follows the TCFD structure, and the Managing Director chairs our Climate Committee.

Governance and strategy

The Board's Sustainability Committee reviews climate risks twice a year. We examine transition risks, such as buyer requirements and a future carbon market, and physical risks, including erratic monsoons that affect cotton supply and heat stress in mills. Scenario analysis shows that dependence on a single wind regime is a risk we need to manage by diversifying sources.

Emissions

Our Scope 1 emissions fell 22% between FY2020 and FY2025, to 71,760 tCO₂e. The reduction came from boiler efficiency, switching part of the fuel to biomass, heat recovery in processing and better steam management.

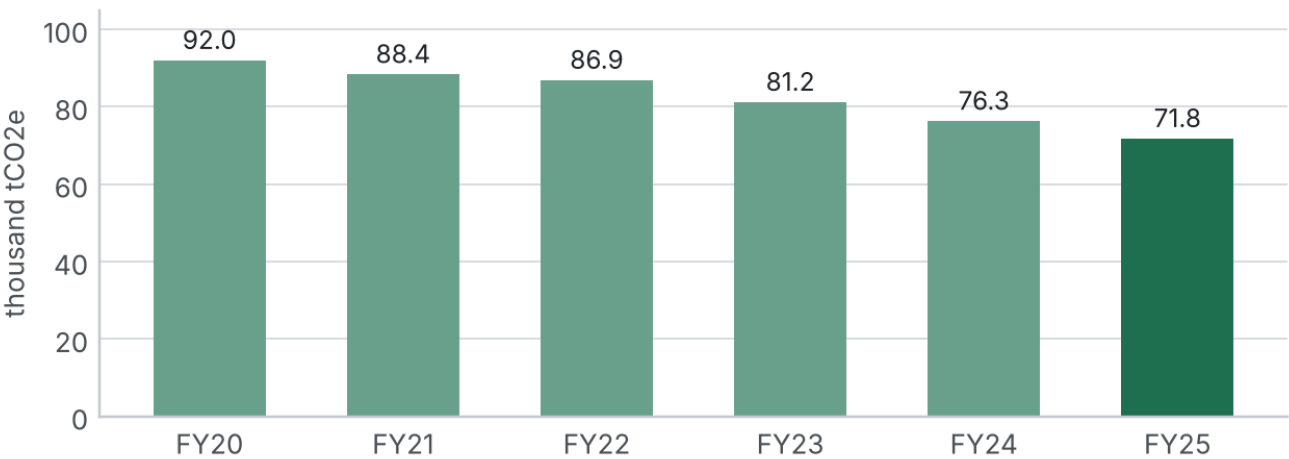


Figure 6.1 Scope 1 GHG emissions, FY2020 to FY2025 (thousand tCO₂e).

Energy

The 40 MW captive wind farm in Tirunelveli was commissioned in stages and now plays a central role in our energy mix. We complement it with solar rooftops

at the Coimbatore mill and purchase of renewable electricity through open access.

Renewable sources, chiefly our captive wind farm, supplied 64% of our electricity in FY2025. Every renewable energy certificate we purchased in 2024 has been retired in our name.

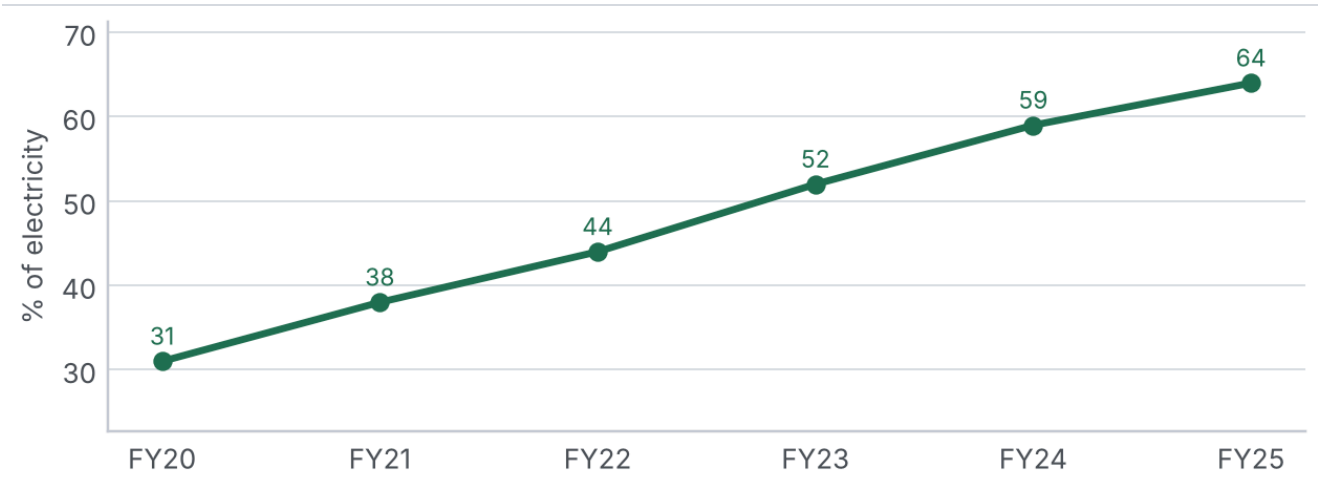


Figure 6.2 Renewable share of electricity, FY2020 to FY2025 (per cent).

EFFICIENCY MEASURES IN SPINNING

- High-efficiency motors and fans
- Variable frequency drives on humidification plants
- LED lighting and automated controls
- Compressed air leak management

NOTES

1. Scope 1 covers boiler and thermal oil heater fuel, diesel generator sets and company vehicles.
2. Certificates are tracked in our name on the national registry and retired at the end of each calendar year.

SECTION 07

07 Water and zero liquid discharge

Reuse, recovery and stewardship

Water is the lifeblood of textile wet processing. Dyeing and finishing in the Tiruppur cluster once left the Noyyal river in poor condition, and the cluster has

since invested in effluent treatment. We want to be among the companies that finish that job.

Our Tiruppur processing unit has operated at zero liquid discharge since FY2024. Treated effluent is passed through ultrafiltration, reverse osmosis and multiple effect evaporation, and the recovered water and salts are reused in dyeing.

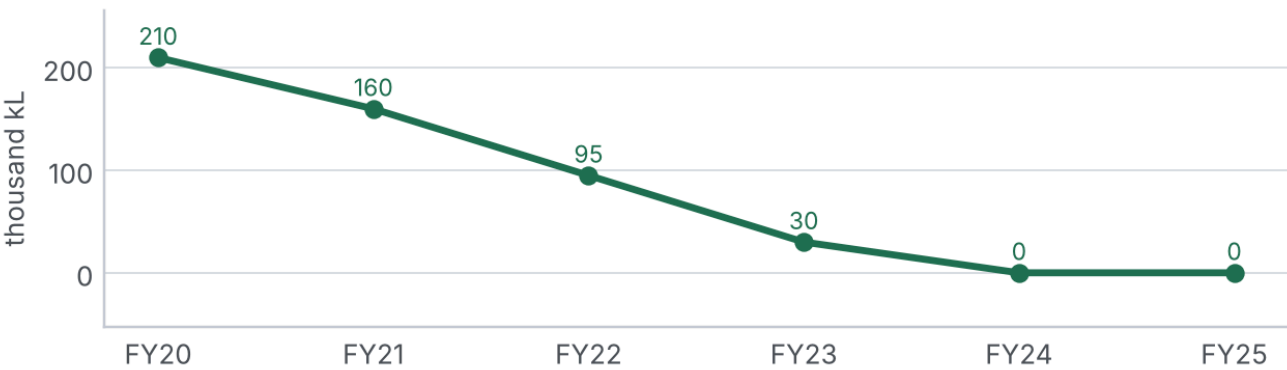


Figure 7.1 Treated liquid discharge from our operations, FY2020 to FY2025 (thousand kL).

Reducing what we draw in the first place is equally important. Total water withdrawal decreased by about 20% compared with FY2020.

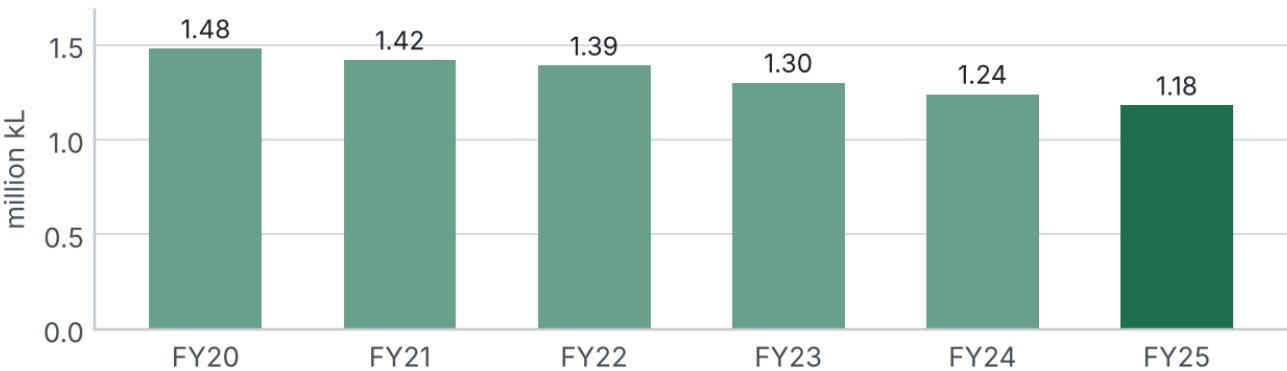


Figure 7.2 Total water withdrawal, FY2020 to FY2025 (million kL).

Water indicators

Indicator	Unit	FY20	FY21	FY22	FY23	FY24	FY25
Total water withdrawal	million kL	1.48	1.42	1.39	1.30	1.24	1.18
Total water discharged	kL	2,10,000	1,60,000	95,000	30,000	0	0

Withdrawal is metered at borewells and municipal connections. Discharge is metered at final outfalls.

SECTION 08

08

Waste and circular fibres

From offcuts to opportunity

Textile waste comes in many forms: cotton waste from carding and combing, yarn and fabric offcuts, packaging, chemical containers, effluent treatment sludge and salts. The most valuable of these is cotton waste, which is spun again into coarser yarns or sold to the nonwoven and recycled fibre industries.

Cotton and fabric waste

Comber noil, fly and sweepings are sold to open-end spinners and to producers of nonwoven products. Cutting waste from fabric is collected, sorted by fibre and colour and sent for mechanical recycling. We are testing chemical recycling partnerships for blended fabrics, which are harder to recycle.

Hazardous waste

Used dye containers, oil, and laboratory chemicals are collected under authorisation and handed to registered recyclers or treatment facilities. Effluent treatment

plant sludge is stored in covered bays and disposed of at authorised secure landfills.

CIRCULAR PROGRAMMES

- Recycled cotton yarn range with brand partners
- Returnable cones and pallets
- Sorting and baling of fabric offcuts for recycling
- Pilot on dye bath reuse

Waste reduction begins with design. We work with merchandising teams and customers on marker efficiency, standard sizes and minimum order quantities that reduce the offcuts and leftover stock.

Our waste data is compiled by weight at each unit and reviewed in monthly plant meetings. Because waste sold to third parties leaves our control, we track end use through buyer declarations wherever possible.

SECTION 09

09

Biodiversity and nature

Cotton fields, rivers and wind

Our own sites are in industrial and agricultural areas, and we do not operate in or next to protected forests. Our biodiversity footprint lies mostly upstream, in cotton fields, and downstream in the rivers that receive textile effluent. The wind farm sits on dry upland in Tirunelveli, with some of the turbines near migratory bird routes.

Wind farm and wildlife

Before construction, bird and bat surveys were conducted and turbine layouts were adjusted to leave corridors. Post-construction monitoring continues with a local ornithological society. We share results with the Forest Department and use them to adjust operation during peak migration if needed.

Cotton and soil

Cotton farming draws heavily on soil and water and, if poorly managed, on pesticides. Our farmer outreach programme supports integrated pest management, drip irrigation, soil health testing and intercropping. We favour regenerative practices and are building a base of farmers in Maharashtra and Telangana.

NATURE-POSITIVE STEPS

- Native tree plantations around mills and wind farm
- Support for pond restoration in neighbouring villages
- Bird monitoring at the wind farm
- Pesticide reduction training for farmers

We are beginning to map our nature-related dependencies using the TNFD framework, starting with cotton sourcing regions. As this work progresses, we will report more on our upstream footprint.

SECTION 10

10 Air quality and compliance

Meeting standards and keeping regulators informed

Compliance is the floor of our environmental work, not its ceiling. Each of our three sites operates under consents issued by the Tamil Nadu Pollution Control Board, and the Tiruppur unit is subject to additional conditions on effluent and zero liquid discharge, with online monitoring linked to the Board.

How we manage compliance

We maintain a register of legal requirements for each site, with owners and due dates. Responsible managers confirm status monthly, and the Head of Sustainability reviews a consolidated report. External auditors conduct an environmental compliance audit at each site every year, and their findings are tracked to closure.

We pay close attention to what regulators tell us, and to what they do not. No environmental notices, penalties or closure directions were received during the year.

AIR EMISSIONS CONTROL

- Bag filters and cyclones on boilers
- Biomass and cleaner fuel preferred over coal
- Regular stack monitoring by accredited laboratories
- Cotton dust extraction in blow room and carding

Spinning produces cotton dust, which is a respiratory hazard for workers. Humidification, extraction and filtration systems keep dust levels within limits, and workers receive periodic lung function tests.

In the dyeing house, volatile solvents are minimised through the choice of chemicals, and boilers are tuned for complete combustion. Odour and noise are monitored at the boundary of the Tiruppur unit.

SECTION 11

11

People and safety

Looking after those who make our cloth

Textile mills run around the clock. People work close to rotating machinery, hot water and steam, and in humid, noisy environments. We manage these risks through engineering controls, training and a culture in which anyone can stop work.

We treat safety as a shared responsibility and report on it openly. We achieved an LTIFR of 0.08 in FY2025, with zero fatalities for the sixth consecutive year.

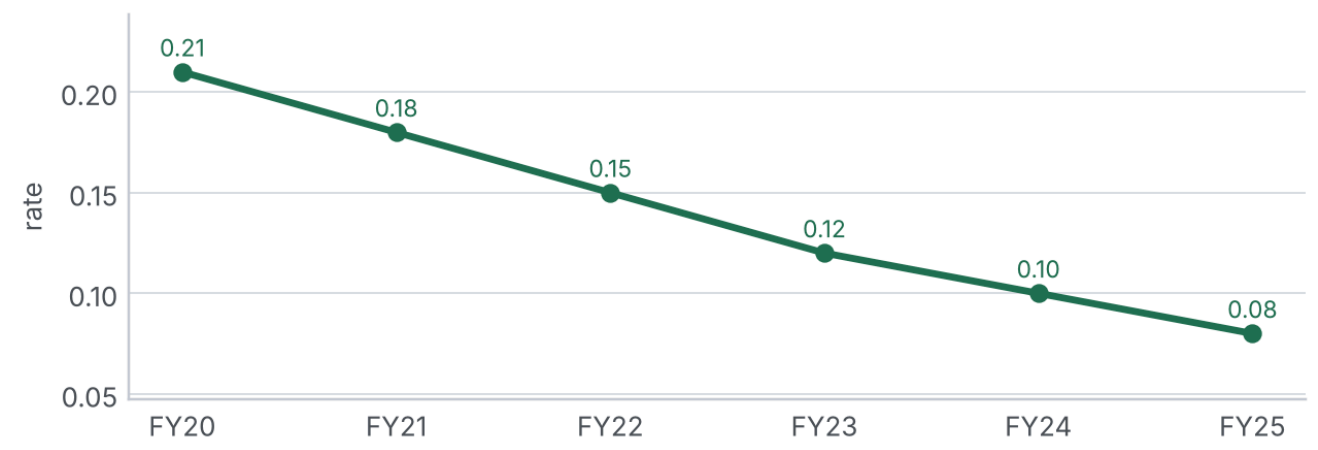


Figure 11.1 Lost Time Injury Frequency Rate per million person-hours, FY2020 to FY2025.

Safety system

Our management system is certified to ISO 45001. Hazard identification covers each machine and process, and every near-miss is investigated for root cause. Contractors follow the same standards, and no work begins without a permit where the task is high risk.

SAFETY PRACTICES

- Machine guarding and lock-out procedures in spinning and processing
- Chemical handling training and personal protective equipment in the dye house
- Fire safety drills and sprinklers
- Joint worker-management safety committees at each unit

Health and wellbeing

Occupational health centres at Coimbatore and Tiruppur provide periodic check-ups, audiometry, lung function tests and first aid. Counsellors support workers who live away from their families in company hostels.

Skills

The Kaveri Skills Academy trains operators, mechanics and supervisors, and provides a pathway for school leavers to join as apprentices. Many of our supervisors began as trainees on the shop floor.

Collective bargaining covers most workmen in our mills, and wage agreements are reached by negotiation. Grievance committees meet monthly.

SECTION 12

12 Diversity and inclusion

Fair opportunity at every level

Women have always been central to the textile industry in Tamil Nadu. Our task is to ensure that this participation comes with fair pay, safe working conditions, opportunities to advance and freedom from harassment. We do not regard high employment of women as an achievement by itself unless those conditions are met.

We monitor how earnings are shared as a simple indicator of fairness. Women received 38.5% of the gross wages we paid in FY2025.

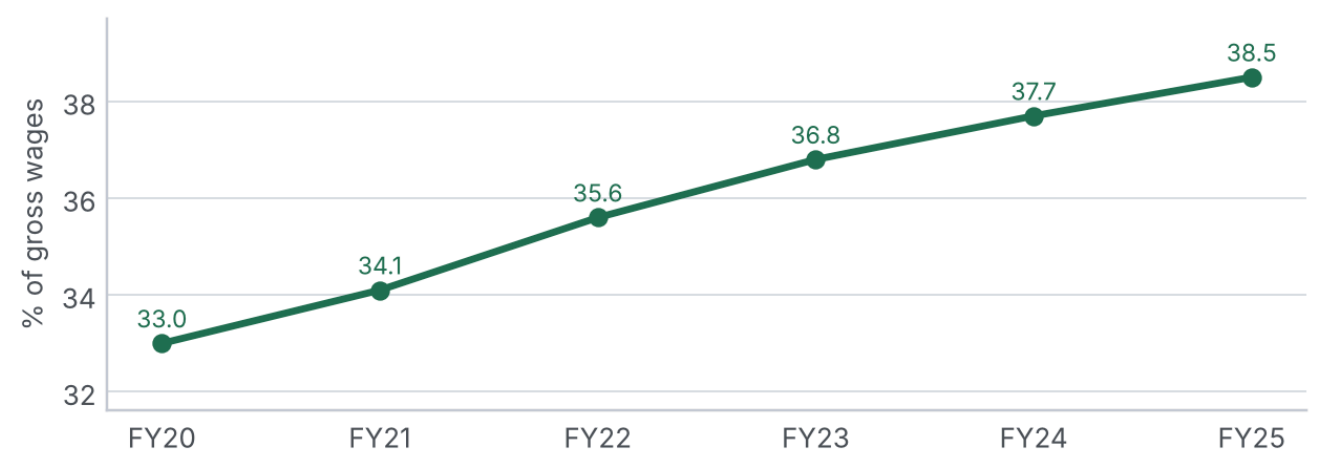


Figure 12.1 Gross wages paid to women as a percentage of total gross wages, FY2020 to FY2025.

Women's share of gross wages

Indicator	FY20	FY21	FY22	FY23	FY24	FY25
% of total gross wages	33.0	34.1	35.6	36.8	37.7	38.5

Gross wages include basic pay, allowances, overtime and bonus for permanent employees and workers.

Beyond participation

We are working to increase the share of women in supervisory and technical roles through training and mentoring. Hostels for migrant workers have security, medical care and recreation, and each unit operates a crèche for children of employees.

INCLUSION MEASURES

- Internal Committee under the POSH Act, with worker representation
- Leadership programme for women supervisors
- Equal pay for equal work audits
- Recruitment of persons with disabilities in suitable roles

We recognise that inclusion extends to migrant workers from other states, who face language and housing barriers. Our welfare officers speak several languages, and orientation is provided in the worker's own language.

SECTION 13

13

Community and social investment

Growing together with our neighbours

Kaveri's mills are woven into the neighbourhoods around them. Many of our employees live nearby, and the success of the company is closely linked to the

health of these places. Our CSR activities focus on women's livelihoods, education, health and the environment.

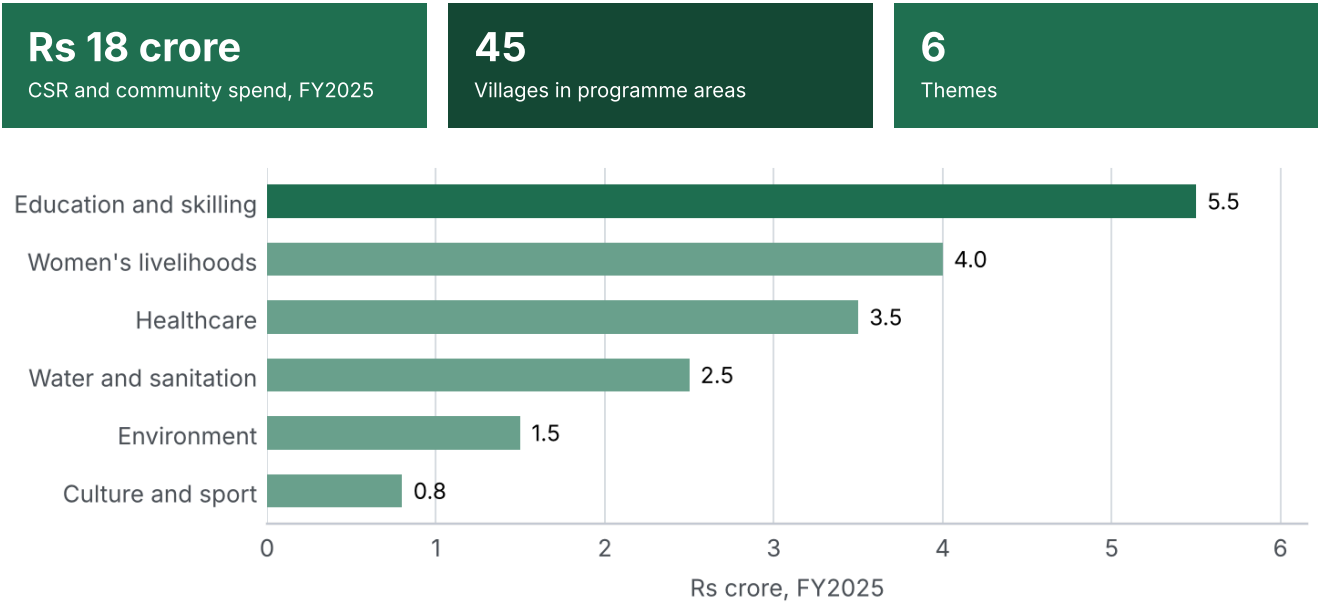


Figure 13.1 CSR spend by theme, FY2025 (Rs crore).

Women's livelihoods

Self-help groups receive training in tailoring, handloom, food processing and digital skills, together with linkages to banks and markets. Several groups now supply us with packing materials and uniforms.

Education and health

We have supported science laboratories and sanitation facilities in government schools, scholarships for girls, and evening study centres for children of migrant

workers. A mobile clinic visits villages near Tirunelveli and Tiruppur twice a week.

Environment

Pond de-silting, tree planting and school eco-clubs engage children and adults in caring for local ecosystems.

PARTICIPATORY PLANNING

Each village programme is chosen with panchayat members and reviewed in an annual social audit.

SECTION 14

14

Governance and ethics

A board that asks questions

The Board has nine directors, five of them independent, with two women directors. The Chairman is a non-executive director, and the Managing Director leads the executive team. Board skills include textiles, finance, law, technology and sustainability.

Oversight

The Audit Committee oversees financial and non-financial reporting and the system of internal controls. The Sustainability Committee, chaired by an independent director, meets quarterly to review plans, performance, risks and disclosures. The Risk Management Committee reviews the enterprise risk register.

CONDUCT AND ETHICS

- Code of Conduct and annual declaration
- Anti-bribery and anti-corruption policy
- Independent whistle-blower hotline reporting to the Audit Committee chair
- Human rights policy covering employees and suppliers

Risk management

Strategic, operational, financial and ESG risks are scored by owners and reviewed regularly. Cotton price volatility, wind variability, regulatory change on effluent standards, labour availability and climate-related disruptions are among the principal risks, each with a mitigation plan.

The company does not make political contributions. We belong to industry associations such as the Southern India Mills Association and the Tiruppur Exporters' Association, and we disclose our policy positions where they affect our stakeholders.

Executive remuneration includes a component linked to safety, resource efficiency and customer sustainability audits, as determined by the Nomination and Remuneration Committee.

SECTION 15

15 Supply chain and customers

Cotton, suppliers and brand partners

The biggest part of a textile company's footprint lies outside its gates: on cotton farms, in ginning mills and in the factories that cut and sew our fabric. We cannot control these places but we can influence them, and we increasingly try to.

Cotton sourcing

We buy cotton from farmer producer groups, traders and the Cotton Corporation of India. A traceability pilot uses digital records to link bales to farmer groups, and a growing proportion of our cotton comes with documentation of origin. We prefer Better Cotton and organic sources where customers ask for them.

Fair pay for supply chain workers is an important issue for brands and for us. All workers across our tier-2 cotton supply chain are paid a living wage.

SUPPLIER STANDARDS

- Supplier Code of Conduct covering labour, safety and environment
- Risk-based audits, including by customers and third parties
- Chemical management in line with ZDHC guidelines
- Worker voice channels for key suppliers

Customers

Brands increasingly ask for environmental data, product-level footprints and chemical compliance. We maintain test reports and certifications such as OEKO-TEX and GOTS for relevant product lines, and share information through industry platforms.

Value chain emissions are a growing topic of conversation with customers. We are building a Scope 3 inventory starting with purchased goods and transport, and will report on it when data quality allows.

SECTION 16

16

BRSR Core summary

Selected indicators, FY2023 to FY2025

The table below shows selected BRSR Core indicators for the last three years. The full BRSR is available on the stock exchange websites.

BRSR Core summary: selected indicators

Attribute	Indicator	Unit	FY23	FY24	FY25
Economic	Revenue from operations	Rs crore	3,290	3,410	3,580
GHG footprint	Total Scope 1 emissions	tCO2e	81,200	76,300	71,760
Energy footprint	Share of electricity from renewable sources	%	52.0	59.0	64.0
Water footprint	Total water withdrawal	kL	13,00,000	12,40,000	11,80,000
Water footprint	Total water discharged	kL	30,000	0	0
Employee wellbeing and safety	Lost Time Injury Frequency Rate (per million hours)	Rate	0.12	0.10	0.08
Employee wellbeing and safety	Work-related fatalities	Count	0	0	0
Gender diversity	Gross wages paid to females as % of total wages	%	36.8	37.7	38.5
Openness	Type of assurance on BRSR Core	Category	Reasonable	Reasonable	Reasonable

Definitions follow SEBI's BRSR Core framework. Assurance provider: Natarajan Assurance Services.

BRSR Core also asks for indicators on circularity, inclusive development and fairness to customers and suppliers. These appear in the statutory BRSR and are discussed in the narrative sections of this report.

BASIS OF PREPARATION

- Operational control boundary
- Water discharge covers treated effluent leaving the site
- Fatalities include employees and contract workers
- Wages cover permanent employees and workers

Our renewable electricity share counts generation from the captive wind farm consumed at our mills together with certified renewable purchases.

SECTION 17

17 Assurance and reporting integrity

Independent review of our data

Assurance gives readers confidence that what we report is complete and accurate. We began with limited assurance on our BRSR Core indicators and have

progressively moved to a higher standard as our systems improved.

Our BRSR Core disclosures received reasonable assurance for the fourth year running. The independent report from Natarajan Assurance Services follows this section.

Engagement

The assurance team visited all three sites, tested a sample of data points from meter to report, interviewed process owners and reviewed our calculation workbooks. They raised a small number of observations on documentation, which we have since addressed.

INTERNAL CONTROLS ON REPORTING

- Plant-level data owners sign off monthly
- Sustainability team reconciles to utility bills and payroll
- Internal audit tests selected indicators
- Audit Committee review before publication

We will continue to extend assurance to indicators beyond BRSR Core as methods mature, and to supply chain data in particular.

SECTION 18

18 Independent assurance report

Reasonable assurance on selected BRSR Core indicators

Independent Assurer's Reasonable Assurance Report

To the Board of Directors of Kaveri Threads & Textiles Ltd

We, Natarajan Assurance Services, were engaged by the management of Kaveri Threads & Textiles Ltd (the "Company") to perform a reasonable assurance engagement on the selected BRSR Core indicators set out in the Company's report for the year ended 31 March 2025 (the "Subject Matter Information").

Management's responsibility. The Company's management is responsible for the preparation of the Subject Matter Information in accordance with the SEBI BRSR Core framework and the criteria described in the reporting boundary, and for the design and maintenance of internal controls relevant to that preparation.

Our responsibility. Our responsibility is to express a reasonable assurance opinion on the Subject Matter Information based on our work, which we performed in accordance with the Standard on Assurance Engagements (SAE) 3000 (Revised) and, for greenhouse gas indicators, SAE 3410, issued by the Institute of Chartered Accountants of India. The engagement covered the BRSR Core indicators for the year ended 31 March 2025 as presented in the Company's filing.

Procedures. Our procedures included inquiries of personnel responsible for data collection, site visits to selected facilities, inspection of source records and calculation workbooks, re-performance of calculations on a sample basis, and evaluation of the appropriateness of the reporting criteria and the disclosures in this report.

Opinion. In our opinion, the Subject Matter Information for the year ended 31 March 2025 has been prepared, in all material respects, in accordance with the applicable criteria.

Independence and quality control. We have complied with the independence and other ethical requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India and apply a system of quality management that includes documented policies on ethical requirements and professional standards.

Natarajan Assurance Services

Chartered Accountants, Firm Registration No. 004517S

CA Sundaram Natarajan, Partner

Coimbatore, 29 May 2025

SECTION 19

19 GRI content index

Where to find each disclosure

Statement of use. Kaveri Threads & Textiles Ltd has reported the information cited in this GRI content index for the period 1 April 2024 to 31 March 2025 with reference to the GRI Standards.

GRI content index

Disclosure	Title	Location in this report	Status
2-1	Organizational details	Section 03	Reported
2-2	Entities included in sustainability reporting	Section 01	Reported
2-3	Reporting period, frequency and contact point	Section 01	Reported
2-4	Restatements of information	Section 01	Reported
2-5	External assurance	Section 17	Reported
2-6	Activities, value chain and other business relationships	Section 03	Reported
2-7	Employees	Section 11	Reported
2-8	Workers who are not employees	Section 11	Reported
2-9	Governance structure and composition	Section 14	Reported
2-10	Nomination and selection of the highest governance body	Section 14	Reported
2-11	Chair of the highest governance body	Section 14	Reported
2-12	Role of the highest governance body in overseeing impacts	Section 14	Reported
2-13	Delegation of responsibility for managing impacts	Section 14	Reported
2-14	Role of the highest governance body in sustainability reporting	Section 14	Reported
2-15	Conflicts of interest	Section 14	Reported
2-16	Communication of critical concerns	Section 14	Reported
2-17	Collective knowledge of the highest governance body	Section 14	Reported
2-18	Evaluation of the performance of the highest governance body	Section 14	Reported
2-19	Remuneration policies	Section 14	Reported
2-20	Process to determine remuneration	Section 14	Reported
2-22	Statement on sustainable development strategy	Section 02	Reported
2-23	Policy commitments	Section 14	Reported
2-24	Embedding policy commitments	Section 14	Reported
2-25	Processes to remediate negative impacts	Section 14	Reported
2-26	Mechanisms for seeking advice and raising concerns	Section 14	Reported
2-27	Compliance with laws and regulations	Section 10	Reported
2-28	Membership associations	Section 14	Reported
2-29	Approach to stakeholder engagement	Section 04	Reported
2-30	Collective bargaining agreements	Section 11	Reported
3-1	Process to determine material topics	Section 04	Reported
3-2	List of material topics	Section 04	Reported
3-3	Management of material topics	Section 05	Reported
201-1	Direct economic value generated and distributed	Section 03	Reported
201-2	Financial implications and other risks and opportunities due to climate change	Section 06	Reported
203-1	Infrastructure investments and services supported	Section 13	Reported
203-2	Significant indirect economic impacts	Section 13	Reported
204-1	Proportion of spending on local suppliers	Section 15	Reported
205-1	Operations assessed for risks related to corruption	Section 14	Reported
205-2	Communication and training about anti-corruption policies	Section 14	Reported

Disclosure	Title	Location in this report	Status
205-3	Confirmed incidents of corruption and actions taken	Section 14	Reported
206-1	Legal actions for anti-competitive behaviour	Section 14	Reported
301-1	Materials used by weight or volume	Section 08	Partial
301-2	Recycled input materials used	Section 08	Partial
302-1	Energy consumption within the organization	Section 06	Reported
302-3	Energy intensity	Section 06	Reported
302-4	Reduction of energy consumption	Section 06	Reported
303-1	Interactions with water as a shared resource	Section 07	Reported
303-2	Management of water discharge-related impacts	Section 07	Reported
303-3	Water withdrawal	Section 07	Reported
303-4	Water discharge	Section 07	Reported
303-5	Water consumption	Section 07	Reported
304-1	Operational sites in or adjacent to protected areas	Section 09	Reported
304-2	Significant impacts of activities on biodiversity	Section 09	Reported
304-3	Habitats protected or restored	Section 09	Partial
304-4	IUCN Red List species in areas affected by operations	Section 09	Partial
305-1	Direct (Scope 1) GHG emissions	Section 06	Reported
305-2	Energy indirect (Scope 2) GHG emissions	Section 06	Reported
305-3	Other indirect (Scope 3) GHG emissions	Section 15	Partial
305-4	GHG emissions intensity	Section 06	Reported
305-5	Reduction of GHG emissions	Section 06	Reported
305-7	Nitrogen oxides, sulfur oxides and other significant air emissions	Section 10	Reported
306-1	Waste generation and significant waste-related impacts	Section 08	Reported
306-2	Management of significant waste-related impacts	Section 08	Reported
306-3	Waste generated	Section 08	Reported
306-4	Waste diverted from disposal	Section 08	Reported
306-5	Waste directed to disposal	Section 08	Reported
308-1	New suppliers screened using environmental criteria	Section 15	Reported
401-1	New employee hires and employee turnover	Section 11	Reported
401-2	Benefits provided to full-time employees	Section 11	Reported
401-3	Parental leave	Section 12	Reported
403-1	Occupational health and safety management system	Section 11	Reported
403-2	Hazard identification, risk assessment and incident investigation	Section 11	Reported
403-3	Occupational health services	Section 11	Reported
403-4	Worker participation, consultation and communication on OHS	Section 11	Reported
403-5	Worker training on occupational health and safety	Section 11	Reported
403-6	Promotion of worker health	Section 11	Reported
403-7	Prevention and mitigation of OHS impacts linked by business relationships	Section 11	Reported
403-8	Workers covered by an OHS management system	Section 11	Reported
403-9	Work-related injuries	Section 11	Reported
403-10	Work-related ill health	Section 11	Partial
404-1	Average hours of training per year per employee	Section 11	Reported
404-2	Programs for upgrading employee skills	Section 11	Reported
405-1	Diversity of governance bodies and employees	Section 12	Reported
405-2	Ratio of basic salary and remuneration of women to men	Section 12	Reported
406-1	Incidents of discrimination and corrective actions taken	Section 12	Reported
407-1	Operations and suppliers at risk for freedom of association	Section 15	Reported

Disclosure	Title	Location in this report	Status
408-1	Operations and suppliers at risk for child labour	Section 15	Reported
409-1	Operations and suppliers at risk for forced labour	Section 15	Reported
413-1	Operations with local community engagement	Section 13	Reported
413-2	Operations with significant negative impacts on local communities	Section 13	Reported
414-1	New suppliers screened using social criteria	Section 15	Reported
415-1	Political contributions	Section 14	Reported
416-1	Assessment of health and safety impacts of product and service categories	Section 03	Reported
417-1	Requirements for product and service information and labelling	Section 03	Reported
418-1	Substantiated complaints concerning breaches of customer privacy	Section 14	Reported

GRI 1: Foundation 2021, GRI 2: General Disclosures 2021 and GRI 3: Material Topics 2021 apply to all rows. Sector-specific standards are not yet available for our sector.

SECTION 20

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Glossary

Terms and abbreviations

BRSR

Business Responsibility and Sustainability Report, the disclosure format prescribed by SEBI for listed entities in India.

BRSR Core

The subset of BRSR indicators, across nine ESG attributes, that is subject to assurance and value chain disclosure.

Comber noil

Short fibres removed during combing, sold for coarser yarns and nonwovens.

CPCB

Central Pollution Control Board, the statutory body under the Ministry of Environment, Forest and Climate Change.

CSR

Corporate social responsibility, spending governed by Section 135 of the Companies Act, 2013.

ESG

Environmental, social and governance.

FY2025

The financial year from 1 April 2024 to 31 March 2025.

GHG

Greenhouse gases, expressed as carbon dioxide equivalent (tCO₂e) using IPCC AR6 warming potentials unless noted.

GOTS

Global Organic Textile Standard.

GRI

Global Reporting Initiative; this report is prepared with reference to the GRI Standards 2021.

Lakh

A unit of 100,000. One crore equals 100 lakh, or 10 million.

Limited assurance

A lower level of assurance, expressed as a negative-form conclusion, based on less extensive procedures.

LTIFR

Lost Time Injury Frequency Rate, the number of lost-time injuries per million person-hours worked.

MSME

Micro, small and medium enterprise, as classified under the MSMED Act, 2006.

MTPA

Million tonnes per annum.

OEKO-TEX

A family of tests and labels for textile safety.

Open access

A framework allowing consumers to buy power directly from generators using the grid.

Reasonable assurance

A higher level of assurance, expressed as a positive-form opinion, with more extensive testing than limited assurance.

REC

Renewable energy certificate, a tradable instrument representing one megawatt-hour of renewable generation.

Reverse osmosis

A membrane process that removes dissolved salts from water.

Scope 1

Direct GHG emissions from sources owned or controlled by the company.

Scope 2

Indirect GHG emissions from the generation of purchased electricity, steam, heating or cooling.

Scope 3

All other indirect GHG emissions in the value chain, upstream and downstream.

SEBI

Securities and Exchange Board of India.

Spindle

The spinning unit that twists fibre into yarn; mills quote capacity in spindles.

TCFD

Task Force on Climate-related Financial Disclosures, whose recommendations structure our climate reporting.

tCO₂e

Tonnes of carbon dioxide equivalent.

Ultrafiltration

A membrane process that removes suspended solids and large molecules from effluent.

Value chain

The activities, actors and flows upstream and downstream of a company's own operations.

Wet processing

Dyeing, printing and finishing of textiles using water and chemicals.

ZDHC

Zero Discharge of Hazardous Chemicals programme.

ZLD

Zero liquid discharge, a design in which treated effluent is fully recovered and reused.

SECTION 21

21 Forward-looking statements

Important notice to readers

This report contains statements about Kaveri Threads & Textiles Ltd's plans, objectives, strategies, expectations and aspirations that are forward-looking in nature. Such statements are not guarantees of future performance. They reflect management's current views and assumptions as of the date of publication and are subject to risks, uncertainties and changes in circumstances that are difficult to predict. Words such as aim, expect, intend, plan, will, target and ambition identify many of these statements.

Actual outcomes may differ materially from those expressed or implied, because of factors that include changes in government policy and regulation, movements in commodity, power and fuel prices, availability of capital and technology, climatic and weather events, project approvals and construction timelines, counterparty performance, litigation, and general economic conditions in India and the markets we serve.

Data in this report has been compiled from internal systems, plant records and third-party sources. Where estimates or methodologies have been used, we have tried to say so in the notes to the relevant tables. Figures may not add up because of rounding. Past performance is not a guide to future results. Nothing in this report constitutes an offer, invitation or recommendation to buy or sell securities, and readers should not rely on it as investment, legal or tax advice.

Kaveri Threads & Textiles Ltd undertakes no obligation to update any forward-looking statement, except as required by applicable law or by the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended. This publication, the company, its facilities, people, events and data are entirely fictional and have been created for an academic demonstration of ESG claim verification.

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